



ORIENT FINANCE PLC

Interim Financial Statements
For the Period Ended 31st March 2024

For the	Quarter Ended 31st March		Year Ended 31st March	
	2024	2023	2024	2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
	Unaudited	Audited	Unaudited	Audited
Income	1,289,005	1,059,211	4,868,268	3,820,227
Interest income	1,189,229	980,938	4,601,527	3,593,059
Interest expenses	(603,649)	(767,352)	(2,807,119)	(2,600,023)
Net interest income	585,580	213,586	1,794,408	993,036
Fee and commission income	60,068	32,441	162,374	105,892
Other operating income	39,708	45,832	104,367	121,277
Total operating income	685,356	291,859	2,061,149	1,220,205
Impairment charges for loans and receivables to customers	5,460	14,234	(140,179)	(103,024)
Net operating income	690,816	306,093	1,920,970	1,117,181
Operating expenses				
Personnel expenses	(162,408)	(162,259)	(666,360)	(620,552)
Depreciation and amortization	2,929	(43,474)	(83,286)	(117,865)
Other operating expenses	(206,368)	(108,499)	(621,593)	(401,718)
Operating profit/(loss) before Value Added Tax	324,969	(8,139)	549,731	(22,954)
Tax on financial services	(73,058)	(11,915)	(200,219)	(46,611)
Profit/(loss) before income tax	251,911	(20,054)	349,512	(69,565)
Income tax expense	(1,747)	2,693	(1,747)	(2,480)
Profit/(loss) for the year	250,164	(17,361)	347,765	(72,045)
Other comprehensive income/(expenses)				
Other comprehensive income to be reclassified to profit or loss in subsequent periods				
Fair value gain / (loss) on investment in treasury bonds /quoted shares	(79,997)	23,514	(17,701)	19,194
Other comprehensive income not to be reclassified to profit or loss in subsequent periods				
Actuarial gain on retirement benefit plan	(6,848)	1,743	(6,848)	1,522
Deferred tax effect on above	(2,054)	(523)	(2,054)	457
Total comprehensive income/(expenses) for the year net of tax	161,265	7,373	321,162	(50,873)
Basic earnings per share (Rs.)	1.19	(0.08)	1.65	(0.34)

Figures in brackets indicate deductions.

Colombo
29th May 2024

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

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As At 31st March

	2024	2023
	Rs. '000	Rs. '000
ASSETS	Unaudited	Audited
Cash and cash equivalents	420,293	307,894
Financial assets - fair value through other comprehensive income	932,992	1,262,914
Loans and receivables to customers	15,658,739	12,941,011
Investments with banks and other financial institutions	342,773	236,013
Other assets	940,365	657,441
Real estate stock	10,968	10,657
Deferred tax asset	365,776	369,577
Goodwill	564,546	564,546
Brand value	235,880	235,880
Intangible assets	12,686	25,098
Property, plant and equipment	143,654	70,733
Right of use assets	126,494	96,793
Investment properties	721,430	690,316
Total assets	20,476,596	17,468,873
LIABILITIES		
Due to banks - bank overdrafts	233,791	240,846
Deposits from customers	13,556,431	10,759,499
Interest bearing borrowings	2,115,120	2,606,632
Lease Liability -right-of-use assets	60,455	46,223
Other liabilities	843,359	482,217
Retirement benefit obligation	65,271	52,449
Total liabilities	16,874,427	14,187,866
EQUITY		
Stated capital	2,431,879	2,431,879
Statutory reserve fund	393,125	375,737
Revaluation reserve	141,121	141,121
Retained earnings	636,044	332,270
Total equity	3,602,169	3,281,007
Total equity and liabilities	20,476,596	17,468,873
Net assets per share	17.06	15.54

Figures in brackets indicate deductions.

The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

Sgd
M A M Arashath
Head of Finance

Sgd
K.M.M.Jabir
Chief Executive Officer/Director

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board.

Sgd
Rajendra Theagarajah
Chairman

Sgd
Prakash Schaffter
Director

Colombo
29th May 2024

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

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For the year ended 31st March

	Stated Capital Rs. '000	Statutory reserve fund Rs. '000	Revaluation reserve Rs. '000	Retained earnings/ (accumulated losses) Rs. '000	Total Rs. '000
Balance as at 01st April, 2022 (Audited)	2,431,879	375,737	141,121	383,143	3,331,880
Profit/(Loss) for the year	-	-	-	(72,046)	(72,046)
Other comprehensive income/ (expense) net of taxes	-	-	-	21,173	21,173
Balance as at 31st March 2023	2,431,879	375,737	141,121	332,270	3,281,007
Balance as at 01st April, 2023 (Audited)	2,431,879	375,737	141,121	332,270	3,281,007
Profit/(Loss) for the year	-	-	-	347,765	347,765
Transfer to statutory reserve		17,388		(17,388)	-
Other comprehensive income/ (expense) net of taxes	-	-	-	(26,603)	(26,603)
Balance as at 31st March 2024	2,431,879	393,125	141,121	636,044	3,602,169

Figures in brackets indicate deductions.

Colombo
29th May 2024

ORIENT FINANCE PLC
STATEMENT OF CASH FLOWS

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For the year ended 31st March

	2024	2023
	Rs. '000	Rs. '000
	Unaudited	Audited
Cash flows from operating activities		
Profit/(loss) before income tax	349,512	(69,566)
Adjustment for:		
Depreciation/amortization	83,286	117,865
(Profit)/ loss on disposal of property, plant and equipment	-	(1)
Impairment charges for loans and receivables to customers	140,179	103,024
Finance expenses	2,807,119	2,600,023
Fair value gain on investment properties	(31,114)	(41,250)
Investment income	(692,272)	(218,411)
Provision for gratuity	16,621	14,355
Operating profit/(loss) before working capital changes	2,673,331	2,506,039
Change in loans and receivables to customers	(2,857,907)	1,081,777
Change in other assets	(282,924)	(402,029)
Change in deposits from customers	2,691,130	1,215,291
Change in other liabilities	388,546	(32,690)
	2,612,176	4,368,388
Rent Paid	(92,511)	(79,099)
Interest paid	(2,259,330)	(1,337,431)
Gratuity paid	(10,647)	(4,489)
Net cash from/(used in) operating activities	249,688	2,947,369
Cash flows from investing activities		
Acquisition of property, plant and equipment and intangible assets	(94,156)	(50,527)
Proceeds from sale of property, plant and equipment	-	113
Proceeds from sale of investment property	-	21,500
Expenses incurred for real estate stock	(312)	(1,319)
Net change in financial assets - FVTOCI	304,872	(518,015)
Net change in investments with bank and other financial institutions	(111,284)	7,177
Investment income received	704,145	15,738
Net cash generated from/(used in) investing activities	803,265	(525,333)
Cash flows from financing activities		
Interest bearing borrowings obtained	5,346,000	682,935
Repayment of interest bearing borrowings	(5,831,476)	(1,826,049)
Interest paid on borrowings	(448,023)	(827,742)
Net cash generated from/(used in) financing activities	(933,499)	(1,970,856)
Net change in cash and cash equivalents	119,454	451,180
Cash and cash equivalents at the beginning of the year	67,048	(384,132)
Cash and cash equivalents at the end of the year (Note A)	186,502	67,048
Note A		
Analysis of cash and cash equivalents at the end of the year		
Cash in hand	350,987	222,628
Cash at bank	69,306	85,266
Bank overdrafts - secured	(233,791)	(240,846)
	186,502	67,048

Figures in brackets indicate deductions.

Colombo
29th May 2024

ORIENT FINANCE PLC
NOTES TO THE FINANCIAL STATEMENTS

FINANCIAL REPORTING BY SEGMENTS

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The company has five reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, which are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

- a) Hire purchase, finance leasing- Provision of hire purchase and leasing facilities to customers
b) Loans - Provision of Loan facilities to customers
c) Factoring - Debt factoring
d) Gold Loan - Provision of loans against gold
e) Others

For the year ended 31st March	Finance lease & Hire purchases		Loans		Factoring		Pawning		Others		Total	
	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023	2024	2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Interest income	2,421,088	1,965,896	115,270	142,673	4,528	4,315	1,368,369	1,261,763	692,272	218,412	4,601,527	3,593,059
Fee and commission income	149,867	80,217	2,702	2,308	46	717	5,460	-	4,299	22,650	162,374	105,892
Other income	19,244	32,283	1,751	12,135	-	-	-	-	83,372	76,858	104,367	121,276
Total segmental income	2,590,199	2,078,396	119,723	157,116	4,574	5,032	1,373,829	1,261,763	779,943	317,920	4,868,268	3,820,227
Less: Interest expense	(1,676,962)	(1,414,543)	(100,175)	(106,932)	(8,019)	(3,425)	(810,487)	(858,748)	(211,476)	(216,374)	(2,807,119)	(2,600,022)
Segmental results	913,237	663,853	19,548	50,184	(3,445)	1,607	563,342	403,015	568,467	101,546	2,061,149	1,220,205
Depreciation and amortization	(44,313)	(64,125)	(2,048)	(4,847)	(78)	(155)	(23,503)	(38,929)	(13,344)	(9,809)	(83,286)	(117,865)
Impairment charge	(189,792)	(68,334)	35,425	(30,613)	17,886	(6,331)	(3,698)	3,841	-	(1,587)	(140,179)	(103,024)
Other expenses	(685,265)	(556,167)	(31,674)	(42,043)	(1,210)	(1,347)	(363,461)	(337,640)	(206,343)	(85,073)	(1,287,953)	(1,022,270)
Tax on Financial Services and Income tax	(120,654)	(26,708)	(7,207)	(2,019)	(577)	(65)	(58,313)	(16,214)	(15,215)	(4,085)	(201,966)	(49,091)
Profit/(loss) after tax	(126,787)	(51,481)	14,044	(29,338)	12,576	(6,291)	114,367	14,073	333,565	992	347,765	(72,045)
Segmental assets	12,232,640	7,857,567	730,731	605,754	58,497	31,621	5,912,118	4,483,270	1,542,610	4,490,661	20,476,596	17,468,873
Segmental liabilities	10,080,718	6,381,758	602,183	491,981	48,207	25,682	4,872,080	3,641,222	1,271,239	3,647,223	16,874,427	14,187,866

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2023. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting.
- 2 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.
- 3 All known expenses have been provided for in these Financial Statements.
- 4 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2023.

Ordinary Share Information

The Company's Ordinary Shares are listed on the Second Board of the Colombo Stock Exchange (CSE).

Stated Capital

Value of Ordinary Shares (Rs.)

No. of Ordinary Shares

31-Mar-24

2,431,879,000

211,101,155

31-Mar-23

2,431,879,039

211,101,155

Share Price During the Period

Highest (Rs)

Lowest (Rs)

Closing (Rs)

For the Quarter Ended

31-Mar-24

9.30

7.00

8.40

31-Mar-23

9.20

7.10

8.90

Shareholders as at 31st March 2024

Name	No. of Shares	%
1 Janashakthi Ltd	93,644,438	44.36
2 Seylan Bank PLC/Janashakthi Limited (collateral)	90,000,000	42.63
3 Seylan Bank PLC/Janashakthi Capital Limited	11,810,999	5.59
4 First Capital Limited	2,138,299	1.01
5 DFCC Bank PLC/G.A.C. De Silva	1,536,550	0.73
6 Peoples Leasing and Finance PLC/ Suhada Gas Distributors (Pvt) Ltd	888,100	0.42
7 Commercial Bank of Ceylon PLC /D. Ramachandran	859,222	0.41
8 Commercial Bank of Ceylon PLC /Janashakthi Limited	555,057	0.26
9 Mr. R.A.B.K. Kumara	500,000	0.24
10 Mr. A. Rajaratnam	413,983	0.20
11 Mrs. I.P.I.L. Gunathilaka	406,750	0.19
12 Mr. L.P.Mendis	358,695	0.17
13 Mr. P.C. Priyanjitha	302,000	0.14
14 Peoples Leasing & Finance PLC/ Mr. A. Rajaratnam	300,000	0.14
15 Mr. S.M.P.B. Samarapperuma	270,692	0.13
16 Seylan Bank PLC/ Haloluwa Gedara Nilupul Gamini Haloluwa	246,886	0.12
17 Mr. M.K. De livera	207,629	0.10
18 Mrs. A.S. De Alwis	204,428	0.10
19 Mr. L.L.P.D.E.S. Karunasekera	192,028	0.09
20 MR. W.M.W.P.B. Weerakoon	171,520	0.08
21 Hatton National Bank PLC/ Koralagodage Don Sahan Rachitra Kulatunga & Mrs. Oshadhini Upulika Kumari Jayasundara	169,450	0.08
22 MR. S. Senthimaaran	150,000	0.07
23 MR. G.P.P. Abeywickrama	144,950	0.07
24 MR. D. Ramachandran	144,350	0.07
25 Assetline Finance Limited/ Suhada Gas Distributors (Pvt) Ltd	143,810	0.07
Others	5,341,319	2.53
Total	211,101,155	100

Directors' Shareholding as at 31st March 2024

Name of the Director	No. of Shares	%
1 Mr. Prakash Anand Schaffter	10	-
2 Mr. Rajendra Thegarajah	-	-
3 Ms. M.D.A. Perera	-	-
4 Ms. N.I. Goonesekera	-	-
5 Mr. N.S.S. Cooray	-	-
6 Mr. K.M.M. Jabir	-	-
7 Mr. R.M.D.J. Ratnayake	-	-
8 Mr. Nalin Karunaratne	-	-
9 Ms. Manohari Abeysekera	-	-
10 Ms. Samdamali Chandrasekara	-	-
Total	10	

CEO's Shareholding as at 31st March 2024

Mr. K.M.M. Jabir	-	-
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Public Holding as at 31st March 2024

Number of Public Shareholders	12,952,342	
Public Shareholding Percentage	903	
Float Adjusted market capitalization (Rs.)	6.14%	
	108,799,673	

The CSE granted an extension in terms of section 7.13.3 (iii) of the Listing Rules to comply with the minimum public holding requirement until 04th March 2021. Due to the above non-compliance, currently the securities of the Company have been transferred to the Second Board with effect from 12th March 2021 at the expiration of extensions granted. Entities that are not compliant only with the minimum public holding requirement are listed on the Second Board.

ORIENT FINANCE PLC

CORPORATE INFORMATION

NAME OF THE COMPANY

Orient Finance PLC

LEGAL FORM

A public limited liability company incorporated on 24th July 1981 under the Companies Ordinance No. 51 of 1938 and was re-registered in terms of the Companies Act No. 07 of 2007 on 27th July 2009.

The Company is registered under the Finance Leasing Act No. 56 of 2000 and Finance Business Act No. 42 of 2011.

COMPANY REGISTRATION NUMBER

PB 1079 PQ (previous PVS/PBS 7651)

TAX PAYER IDENTIFICATION NUMBER

104076513

BOARD OF DIRECTORS

Mr. Prakash Anand Schaffter

Mr. Rajendra Thegarajah

Ms. M.D.A. Perera

Ms. N.I. Goonesekera

Mr. N.S.S. Cooray

Mr. K.M.M. Jabir

Mr. R.M.D.J. Ratnayake

Mr. Nalin Karunaratne

Ms. Manohari Abeysekera

Ms. Samdamali Chandrasekara

STOCK EXCHANGE LISTING

The Company is listed on the Second Board of the Colombo Stock Exchange of Sri Lanka.

REGISTERED OFFICE

No. 02, Deal Place, Colombo 03.

+94 112 639 878

+94 112 639 868

HEAD OFFICE

61, Dharmapala Mawatha, Colombo 07.

+94 117 577 577

+94 117 577 511

 www.orientfinance.lk

 orientfinance@orient.lk

CORPORATE OFFICE

19, Railway Avenue, Nugegoda.

+94 117 577 577

+94 117 577 511

COMPANY SECRETARY

Janashakthi Corporate Services Limited

No. 02, Deal Place, Colombo 03.

+94 112 145 031

 secretaries@jcs.lk

EXTERNAL AUDITORS

BDO Partners, Chartered Accountants,

“Charter House”,

65/2, Sir Chittampalam A Gardiner Mawatha, Colombo 02.

+94 112 421 878

+94 112 336 064

BANKERS

Commercial Bank of Ceylon PLC

Bank of Ceylon

NDB Bank PLC

Seylan Bank PLC

Sampath Bank PLC

People’s Bank

Nations Trust Bank PLC

Pan Asia Bank PLC

DFCC Bank PLC

CREDIT RATING AGENCY

Lanka Rating Agency Limited (LRA)